role in determining production level.

7. Discovery of new raw materials

The discovery of new raw materials which are cheaper and of high quality tends to increase supply of the product.

8. Taxes and subsidies

Subsidies for inputs, credit, power etc. encourage the producers to produce more. Withdrawal of such incentives will hamper production. Taxes both direct and indirect kill the ability and willingness to produce more.

9. Objective of the firm

When the goal of the firm is sales maximisation or improving market share, the supply of the product is likely to be higher.

3.12.4 Elasticity of Supply

Elasticity of supply may be defined as *the degree of responsiveness of change in supply to change in price on the part of sellers.*

It is mathematically expressed as:

Elasticity of supply = proportionate change in supply / proportionate change in price

$e_{s=}(\Delta Q_s/Q_s) / (\Delta P/P)$; $e_s = \Delta Q_s / \Delta P \times P/Q_s$

Where Q_s represents the supply, P represents price, Δ denotes a change.

3.12.5 Types of Elasticity of Supply

There are five types of elasticity of supply.

1. Relatively elastic supply (see Diagram 3.13)

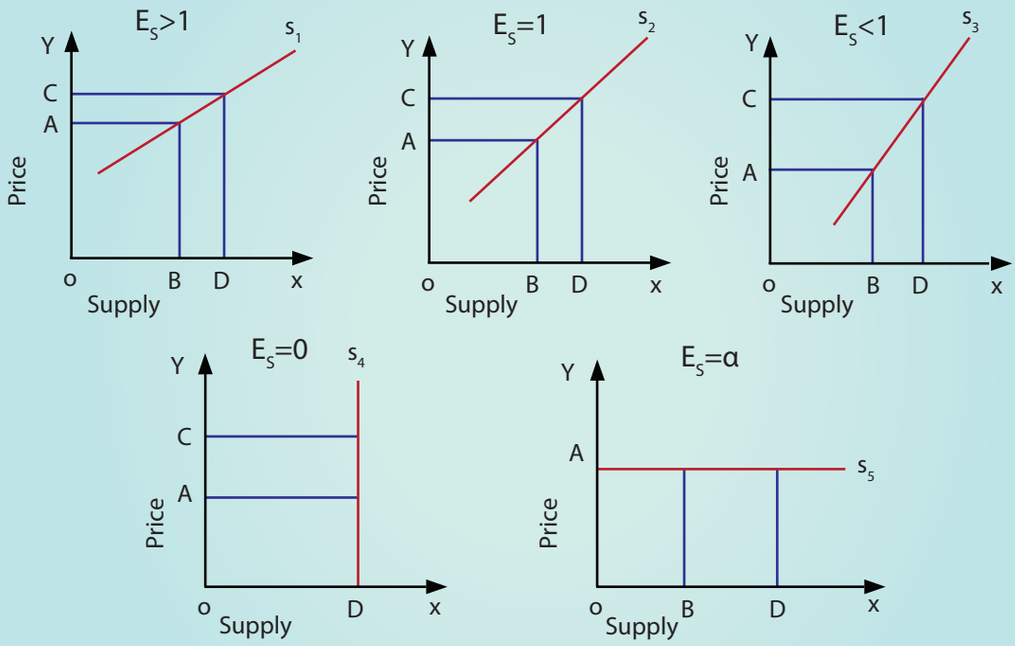


Diagram 3.13

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